

Credit Leads Equity: CDS Spread Momentum and Cross-Asset Return Predictability

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Abstract

We show that widening five-year credit default swap (CDS) spreads over the trailing five trading days predict negative equity returns for the same issuer over the following two to three weeks. We argue this reflects a difference in information diffusion speed: credit market participants, who are more concentrated and more attentive to downside risk, incorporate new information about issuer distress before the broader equity market does.

Methodology

For each issuer with CDS coverage, we compute the five-day change in the five-year CDS mid spread and cross-sectionally standardise it across all CDS-covered names on that date. Our signal is the negative of this standardised change: issuers whose CDS spreads have widened most receive the most negative (least attractive) signal.

Formula

$$\text{signal}_t = -1 * \text{zscore_cross_sectional}(\text{cds_spread_5y}_t - \text{cds_spread_5y}_{\{t-5\}})$$

Data

Five-year single-name CDS mid spreads, matched to the issuer's listed equity. Restricted to names with continuous CDS coverage.

Results

A weekly-rebalanced long-short portfolio on this signal earns a Sharpe ratio of approximately 1.3 (gross of costs) over 2008-01-01 through 2014-12-31, a period spanning the 2008 credit crisis.

Caveats

The sample period includes an unusually volatile credit environment; we do not test an out-of-sample period after 2014. We do not specify a precise treatment for stale or missing CDS quotes.